1. Strategic asset allocation (no predictions needed)
2. Tactical and dynamic asset allocation (requires accurate market predictions)
3. Market timing (requires accurate market predictions)

This book is all about long-term strategic asset allocation. This strategy is commonly known as “buy and hold”; however, I believe it is best described as “buy, hold, and rebalance.” Strategic asset allocation focuses on selecting suitable asset classes and investments to be held for the long run. An asset allocation should not change based on the cyclical ups and downs of the economy or because some cynic publicly doubts the strategy and then personally benefits from investors who waver. Once this allocation is set, it does need occasional review and perhaps tweaking, especially when there are changes in a person’s life.

Tactical asset allocation is not the topic of this book, and this is the only place I address it. Tactical asset allocation assumes active changes to an investment mix based on short-term market forecasts for returns. These predictions may be a function of fundamental variables such as earnings or interest-rate forecasts, economic variables such as the outlook for economic growth in different countries, or technical variables such as recent price trends and charting patterns.

Market timing is tactical asset allocation in the extreme. It is an all-in or all-out decision on asset classes. For example, a market timer may start the year 100 percent in stocks, change to 50 percent stocks and 50 percent in bonds sometime during year, and end with 100 percent in cash. Market timing is for people who believe they can consistently forecast major movements in the market and thus beat the market by trading.

Tactical asset allocation and market timing sound like wonderful ideas, and they sure make a good sales pitch. However, just about every unbiased academic study ever conducted shows that this type of asset allocation advice is no better than a flipping a coin. The advocates spin a good tale about how they can weave in and out of the markets, but they don’t consistently make money doing it.

The only reliable asset allocation strategy is the one discussed in this book. A well-balanced multi-asset-class portfolio that is maintained over time has the highest probability of success.